

The Governance Paradox

Nothing went wrong. Every decision was reasonable.
The programme still rebuilt the company it was bought
to replace.

of Transformation

Written for people who sit close to those programmes.
Independent advisors, roster firms, implementation partners. If
you recognise it in a client of yours, the last section says what to
do with it.

The decisions running your business today were made for the market the company served at the time.

Most of them were right when they were made. They have not been tested since. Governance is what applies the test, or what exempts the decision from it.

The problem

— Every sponsor, 6 to 18 months in.

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We selected the technology, appointed an internal team, brought in an implementation partner, and approved a plan that looked credible at the time. We are now over budget, the timeline has moved several times, and the system is being extended far beyond what anyone intended.

We had a vision. It never got translated down the ranks. What the team knew was that a new technology was coming. User stories became requirements, unverified, unsupported by fact.

Every historical compromise was carried forward as if it were still a business requirement. Every time the business disagreed with the standard process, we approved an exception. Every exception became a system change. Nobody was clearly authorised to decide whether the business adapts or the technology bends, so the technology bent every time.

We are rebuilding the company we already had, inside the platform we bought to replace it.

Five questions. In a programme that is working, every one of them has an answer.

- 1 Ask the CEO what this company is becoming. Ask the janitor. Do you get the same answer.
- 2 Name the last person who said out loud that a process should stop existing. What happened to them.
- 3 Every name on the transformation team was chosen for knowing how the company runs today. Which of them was chosen for being willing to end it.
- 4 Show the page that says which decisions that team can close without you. If there is no page, there is no authority.
- 5 Count how often the business disagreed with the standard system and the business changed. Compare it with how often the system changed. That ratio is your governance.

Two worlds colliding, protected by a governance that does not exist.

Transformation is governed by the system it
is trying to replace.

Looking from the inside out, anyone raising the
firefighting word is considered crazy.

Looking from the outside in, the cause is obvious.

WHO THIS IS FOR

CEOs, CFOs, COOs and executive sponsors accountable for major ERP or technology-enabled business transformations before implementation begins.

The moment is when the transformation moves from approval and planning toward partner selection, mobilisation or implementation, and the sponsor realises that major business decisions, ownership questions or leadership assumptions are still unresolved.

Once implementation starts, unresolved business issues become programme problems. Disruption, executive friction, delayed decisions, loss of confidence in the transformation.

IN THEIR WORDS:

We're getting close to implementation, but I'm not convinced the business is as ready or aligned as the programme plan suggests.

Why it does not sit with the CIO, the CTO or the programme director

The CIO and the CTO own technology. Whether a decision taken years ago still serves the market the company is entering is an operating question. It is not theirs to answer and it never was.

The programme director often can answer it. They are not allowed to. Nobody arbitrates what a programme is permitted to decide while being accountable for delivering it on a date. Ask a programme director to rule that a protected requirement has no evidence behind it, after the go-live date has been communicated. The date wins. Every time.

The implementation partner ends up holding decisions that were never theirs to make, and is then held responsible for them.

The decision belongs to the executive who ultimately owns the consequences.

How it runs

Two engagements.

Stage 1. Transformation Integrity Diagnostic. 1 to 4 weeks.

Four parts, in order. Each one only matters if the one above it holds.

01

Destination.

What the company is becoming, and how far that has travelled. Interviews run on volunteers, every level, plus a required set: sponsor, steering members, process owners. Volunteers, because we want the unfiltered, unbiased state. Interviews also include people who do not volunteer. A curated sample tells you what the organisation wants you to hear.

02

Culture.

Whether the organisation can reinvent itself, or only protect what it has. Same interviews. What is tested is where an idea goes when someone says a practice should stop existing, and what happened to the idea and to the last person who tried.

03

Team.

Vetting against criteria, 1 to 3 people per business area, nominated by the client. Vetting names who can represent a business that does not exist yet, and who will defend the one that does. A name that cannot do the first does not go on the team. The sponsor can override that in writing, with the reason recorded. That record is itself governance.

04

MVG. Minimum Viable Governance.

One page. Decision rights, guardrails, escalation path, and the test every past decision has to pass: does this decision survive the future market.

That test takes protectionism out of the argument, because it challenges the history of the decision instead of the person defending it. It runs in both directions. It makes protecting a decision that no longer contributes to the company's future impossible. It also gives a genuinely industry-specific process, one that neither the software provider nor the ISV market covers, a place to survive on the record.

What lands: the diagnosis, and the signed MVG page. That is the minimum, not the scope.

What moves 1 week to 4: business areas, sites and languages in scope; whether the programme is already running and has a history to read; how deep the vetting goes.

The scope is agreed before the work starts. Fixed fee for a defined window. The diagnostic ends within that window, including when the finding is that the organisation is not ready.

Stage 2. Transformation Governance Gatekeeping.

Stage 1 sets the guardrails. Stage 2 holds them while the programme runs.

Gatekeeping runs at the decision forums, steering and design authority. The workshops are covered by the stream leaders, who report against the guardrails into a standing session with the sponsor. A stream leader who has to report against a guardrail every week starts enforcing it before it reaches the forum.

A violated guardrail goes to the sponsor as a flag. An ignored flag goes to steering as a named decision with an owner and a date. Where governance decisions are overruled repeatedly, the retainer ends.

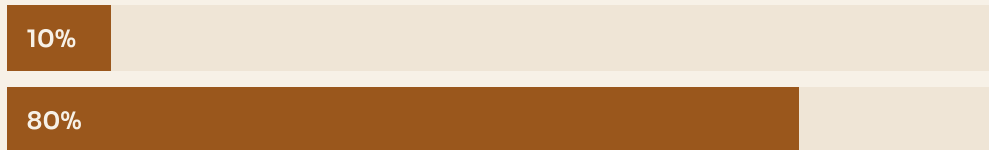
3 months, extended for another month

Stage 2 without Stage 1 is possible, after a short baseline that ends in a signed MVG page. Without that page there are no guardrails to hold, and gatekeeping is attendance.

Evidence

Furniture manufacturing. Project-based order intake. The client cannot be named.

A 1:1 requirement structure across the full supply chain was classified as a must-have by the business team. The steering committee supported it. Two years of programme decisions rested on that classification.



After a failed go-live my analysis looked at the behaviour of the supply chain: demand cadence, self-absorption of demand variation, item concentration. 10 percent of manufactured items accounted for 80 percent of production volume. Measured.

The requirement was invalidated. The model held strong evidence for moving from requirements management to exception management. Modelled: up to 90 percent fewer production orders, 4.5 FTE released, shorter lead times. Execution is running. The benefit is modelled, not banked.

Nobody tested the requirement. The user story became the requirement. The lack of guardrails permitted old decisions into the new technology.

What this does not do

No programme management. No change communications. No ERP configuration. No co-delivery with system integrators.

For implementation partners

This can cost you change requests. Requirements without evidence are challenged before they become a build. A system change supported by the business evidence has a place to survive.

The sponsor owns the business decision. The implementation partner owns the work agreed for delivery. The advisory does not take over that work.

What this gives you is a record of the business decisions behind the build, who made them, and why.

What to do with this

If a client is approaching a transformation and the five questions have no clean answers, that is the moment. Before implementation begins is the cheapest version. Once a programme is running, the work also has to address the decisions already made.

An introduction is enough. A 30-minute framing call settles whether the diagnostic is the right next move.

THE QUESTION TO PUT IN FRONT OF THEM:

Are you transforming the business, or
paying to rebuild yesterday's business on
newer technology?